

26STCV01166 26STCV01166

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Case Number: 26STCV01166 Hearing Date: August 19, 2026 Dept: 516

Judge James I. Montgomery

Department 516

Hearing Date: August 19, 2026

Case Name: Bata Oil Inc. v. Nowyhed

Case

No.: 26STCV01166

Matter: Demurrer with Motion to Strike

Moving

Party: Defendant Saade H.

Nowyhed

Responding Party: Plaintiff Bata Oil Inc.

Tentative Ruling: Defendant

Saade H. Nowyhed's demurrer is sustained.

Defendant

Saade H. Nowyhed's motion to strike is rendered moot.

On January

13, 2026, Plaintiff Bata Oil Inc. ("Plaintiff") filed this action against

Defendant Saade H. Nowyhed ("Defendant"). The Complaint alleged one cause of

action for fraud against Defendant.

On April

13, 2026, the Court sustained Defendant's demurrer with leave to amend.

On May 27,

2026, Plaintiff filed a First Amended Complaint ("FAC").

Defendant

demurs to Plaintiff's FAC for failure to allege sufficient facts to allege a cause of action against Defendant, and moves to strike portions of the FAC. Plaintiff opposes.

Legal Standard

A demurrer is an objection to a pleading, the grounds for which are apparent from either the face of the complaint or a matter of which the court may take judicial notice. (Code Civ. Proc., § 430.30, subd. (a); see also *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) The purpose of a demurrer is to challenge the sufficiency of a pleading by raising questions of law. (Postley v. Harvey (1984) 153 Cal.App.3d 280, 286.) "In the construction of a pleading, for the purpose of determining its effect, its allegations must be liberally construed, with a view to substantial justice between the parties." (Code Civ. Proc., § 452.) The court " 'treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law . . . ' " (Berkley v. Dowds (2007) 152 Cal.App.4th 518, 525.) In applying these standards, the court liberally construes the complaint to determine whether a cause of action has been stated. (Picton v. Anderson Union High School Dist. (1996) 50 Cal.App.4th 726, 733.)

"The

court may, upon a motion made pursuant to Section 435, or at any time in its discretion, and upon terms it deems proper: (a) Strike out any irrelevant, false, or improper matter inserted in any pleading. (b) Strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court." (Code Civ. Proc., § 436.) "Immaterial" or "irrelevant" matters include allegations not essential to the claim, allegations neither pertinent to nor supported by

an otherwise sufficient claim or a demand for judgment requesting relief not supported by the allegations of the complaint. (Code Civ. Proc., § 431.10, subds. (b)(1)-(3).)

Analysis

Meet and
Confer

Pursuant to Code of Civil Procedure

section 430.41, “a demurring party is required to meet and confer in person, by telephone, or video conference with the party that filed the pleading. . . .”

(Code Civ. Proc. § 430.41, subd. (a).) A moving party in a motion to strike must meet and confer before filing the motion. (Code Civ. Proc. §435.5, subd. (a).)

On June 3,
2026, the parties met and conferred over the telephone. (Malakouti Decl., ¶ 6.)
Thus, the parties fulfilled their meet-and-confer obligations.

Demurrer

Defendant

demurs to Plaintiff’s FAC based on standing, an actionable statement of fact, and lack of particularity, and also the economic loss rule bars Plaintiff’s cause of action.

Standing

“The burden
of proving an assignment falls upon the party asserting rights thereunder.” (Cockerell v. Title Ins. & Trust Co. (1954) 42 Cal.2d 284, 292.) Agreements that involve an interest in real property must be written because it falls within the Statute of Frauds. (See *Secrest v. Security National Mortgage Loan Trust* 2002-2 (2008) 167 Cal.App.4th 544, 553, as modified on denial of reh’g (Nov. 3, 2008).)

“A written

contract may be pleaded either by its terms—set out verbatim in the complaint or a copy of the contract attached to the complaint and incorporated therein by

reference—or by its legal effect. [Citation.] In order to plead a contract by its legal effect, plaintiff must “allege the substance of its relevant terms. This is more difficult, for it requires a careful analysis of the instrument, comprehensiveness in statement, and avoidance of legal conclusions.” (McKell v. Washington Mutual, Inc. (2006) 142 Cal.App.4th 1457, 1489 (citation omitted).)

Defendant

argues that the FAC is sham pleading because Plaintiff attached Exhibit B only after the Court sustained Defendant’s demurrer. The Court is not persuaded by Defendant’s argument. Here, Plaintiff did not make substantive changes, it added more information to address the defects that the Court identified at the previous hearing.

Defendant

also argues that the memorandum is insufficient because a memorandum is not a contract; thus, the statute of frauds applies. “A memorandum satisfies the statute of frauds if it identifies the subject of the parties’ agreement, shows that they made a contract, and states the essential contract terms with reasonable certainty.” (Sterling v. Taylor (2007) 40 Cal.4th 757, 766.) Here, the Memorandum identifies the terms. (FAC, Ex. B.) Thus, the memorandum is sufficient at this stage of the proceedings. The Court will not make an evidentiary finding as to when the Memorandum was drafted for purposes of demurrer.

The Court overrules

Defendant’s demurrer on the grounds of standing.

Promissory Fraud

“The

elements of fraud, which give rise to the tort action for deceit, are (a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or ‘scienter’); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.” (Lazar v. Superior Court (1996) 12 Cal.4th 631, 638.) “Promissory fraud” is a subspecies of the action for fraud and deceit. A promise to do something necessarily implies the intention to perform; hence, where a promise is made without such intention, there is an implied misrepresentation of fact that may be actionable fraud. [Citation.] An action for promissory fraud may lie where a

defendant fraudulently induces the plaintiff to enter into a contract.” (Ibid.)

“In such cases, the plaintiff’s claim does not depend upon whether the defendant’s promise is ultimately enforceable as a contract. ‘If it is enforceable, the [plaintiff] ... has a cause of action in tort as an alternative at least, and perhaps in some instances in addition to his cause of action on the contract.’” (Ibid.)

Defendant

argues that Plaintiff has not met the particularity fraud requirement to allege a viable cause of action. Defendant contends that the FAC does not have specific allegations regarding the oral representations that were allegedly made. The Court agrees; this is a conclusory allegation. (FAC, ¶ 19.)

Defendant

also asserts that Plaintiff fails to plead an actionable misrepresentation. Defendant contends that the agreement between the DTLA and Bata was vague and a future promise. “To be enforceable, a promise must be definite enough that a court can determine the scope of the duty and the limits of performance must be sufficiently defined to provide a rational basis for the assessment of damages.” (*Ladas v. California State Auto. Assn.* (1993) 19 Cal.App.4th 761, 769.)

Here, the FAC

alleges that Bata and DTLA agreed to continue operating “in the same manner during the escrow period,” but Defendant “did not have the intention” to operate in the same manner. (FAC, ¶¶ 14, 19.) The FAC also alleges that Defendant and DTLA operated in a manner to “deplete and overprice all inventory of goods and motor fuel sold to the public” to cause customers to stop purchasing from the business. (FAC, ¶ 18.)

“An

actionable misrepresentation must be made about past or existing facts; statements about future events are merely deemed options.” (*San Francisco Design Center Associates v. Portman Companies* (1995) 41 Cal.App.4th 29, 29–30.)

The Court

previously addressed Defendant’s argument regarding the issue that the alleged misrepresentation was regarding future events and not a past event. (April 30, 2026, Minute Order.) Plaintiff’s opposition does not address this argument.

““[S]omething

more than nonperformance is required to prove the defendant's intent not to perform his promise.” (Tenzer v. Superscope, Inc. (1985) 39 Cal.3d 18, 30.) “To be sure, fraudulent intent must often be established by circumstantial evidence.... However, if [a] plaintiff adduces no further evidence of fraudulent intent than proof of nonperformance of an oral promise, he will never reach a jury.” (Riverisland Cold Storage, Inc. v. Fresno-Madera Production Credit Assn. (2013) 55 Cal.4th 1169, 1183.)

The FAC

makes only one allegation of post-contract conduct to allege intent. This is insufficient to allege a viable cause of action.

Thus, the

Court sustains Defendant's demurrer for failure to allege sufficient facts. In the absence of meaningful argument in Plaintiff's opposition to dispute Defendant's demurrer, the Court will not address the remaining economic loss argument.

Motion

to Strike

Defendant

also moves to strike paragraph 21 of Plaintiff's FAC and prayer for exemplary damages.

Defendant's

motion to strike is rendered moot because the Court has sustained its demurrer as to Plaintiff's sole cause of action.

Thus,

Defendant's motion to strike is rendered moot.

Leave to Amend

Leave to amend must be allowed

where there is a reasonable possibility of successful amendment. (See Goodman v. Kennedy (1976) 18 Cal.3d 335, 349 [court shall not “sustain a demurrer without leave to amend if there is any reasonable possibility that the defect

can be cured by amendment”]; Kong v. City of Hawaiian Gardens Redevelopment Agency (2002) 108 Cal.App.4th 1028, 1037 [“A demurrer should not be sustained without leave to amend if the complaint, liberally construed, can state a cause of action under any theory or if there is a reasonable possibility the defect can be cured by amendment.”]; Vaccaro v. Kaiman (1998) 63 Cal.App.4th 761, 768 [“When the defect which justifies striking a complaint is capable of cure, the court should allow leave to amend.”].) The burden is on the complainant to show the Court that the pleading can be successfully amended. (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.)

The Court finds that Plaintiff has not met its burden of showing the Court that the pleading can be amended. This is the second demurrer on Plaintiff’s pleading, and Plaintiff failed to address the previous defects that the Court previously raised. In opposition, Plaintiff did not request leave to amend nor provide a meaningful opposition to Defendant’s arguments.

Thus, the Court denies leave to amend.

Conclusion

Defendant

Saade H. Nowyhed’s demurrer is sustained without leave to amend.

Defendant

Saade H. Nowyhed’s motion to strike is rendered moot.